“They’re charging HOW MUCH???”

Is a Capped Credit Card Interest Rate Viable?

“This bill temporarily caps credit card interest rates at 10%.”(Sanders, 2025) First brought up by Democrats in the Senate’s Banking, Housing, and Urban Affairs Committee, and recently brought up by the President of the United States, it seems that capping credit card interest rates is something that both sides of the political spectrum can agree upon, a true rarity. The idea is appealing at first glance, lower interest rates would ***obviously*** help the consumer by lowering monthly payments. However, there is a hidden cost to capping these interest rates, one that would ultimately harm the consumers who are supporting such a price cap. In this report, it will become clear that this specific cap on interest rates is too harsh, and will end up causing more issues than problems solved.

The bill is as simple as it is short, cap the amount that credit card lenders can charge as an Annual Percentage Rate (APR) to 10%. This would be a federal law, so it is applicable to every state in the United States, and would be “enforced by the Consumer Financial Protection Bureau and the Federal Trade Commission”(Sanders, 2025) There are no exemptions to any credit card institutions, and the penalties are severe: "[forfeiture of] the entire interest of the debt”(Sanders, 2025)

Researchers from Vanderbilt University found that this cap could slow down the growth of credit card debt and translate to savings of around “$100 billion a year”(Dagher, 2026). This could mean real relief for the millions of families that contribute to the almost $1.23 trillion in credit card balances(Webb, 2026). The average interest rate credit card companies charge is around 23% (Webb, 2026). If we proceed with a 10% interest rate, then we will create a shortage that will affect at least 68%, or around 14.3 million, families that have credit cards.(Calem, 2025) these effects could present themselves in the form of lower credit limits, as now loaning out money via credit cards has become less profitable for firms and are thus unable to offer as high limits as before. Firms will also raise minimum payments as they try to consolidate as much money as possibly could. Exact amounts of how much they would raise minimum payments and lower credit limits are uncertain, but it would reflect the loss of $100 Billion in revenue a year as much as it could. This could also lead to firms demanding balances of people who are subprime to be paid back in full, which on average is about $6,715 per person(Black, 2024). Given that 37% of respondents to a nationwide survey said they would have difficulty covering an

unexpected $400 expense out of their income or savings(Black 2024), this will pose a huge problem for low income Americans who simply cannot afford to pay back all of their debt at once. Since the firms have the rationing power, they will perfectly ration their credit, and presumably eliminate the accounts of subprime borrowers.

So what's the deal? Is the only thing that both parties can actually agree on ultimately harmful? How could this lapse of judgement occur? Well, credit card companies were hit with regulations once before, and the outcomes were actually very positive. The Credit CARD act of 2009 is a sweeping piece of legislation that restricts banks from charging certain types of credit card fees, as well as informing credit card holders about the risks of only paying the minimum payment, among a plethora of other things. Instead of what people who opposed the CARD act expected in this situation, there was no increase in the interest rates in anticipation of the CARD act, nor was there any increase of interest rates as a direct result of the CARD act. (Agarwal, 2013) On top of that, for borrowers with a FICO score below 660, there was a decline in over limit fees and late fees that equated to around 5.5% of the Average Daily Balance of a borrower. When taking into consideration borrowers with a FICO score above 660, we see that total fees drop 22.4%. This in aggregate translated to savings of around $12.6 billion a year. The firms who issue credit cards were not able to pass down the losses to the consumer, because they were in a perfectly competitive environment.(Agarwal, 2013) Given this information, it makes sense that if one were to look historically in the United States, regulating credit card companies would come with little to no pushback from the firms. However, would this actually be the case?

Well, interest rates on credit cards have not been capped in the United States, so we will have to look elsewhere. Specifically, a case study that happened in Kenya. In September of 2016, Kenya passed a law that "imposed a ceiling for lending rates"(Alper, 2020), which is comparable to the legislation we are seeing be proposed by our politicians. Kenya passed a law stating that, among other things, there will be a ceiling on interest rates that cannot exceed "4% above a 'reference rate'"(Alper, 2020) The reference rate in question was the Central Bank's lending rate, which at the time was around 10.5%. Thus, banks could only lend out money up to a 14.5% interest rate. This shifted the way banks in Kenya lended out money. Notably, it deteriorated credit to the small and medium enterprises by around 10% as they were too risky to be invested in, and money was better invested elsewhere. Along with deteriorated credit, smaller banks were also hit the strongest, as they relied on these riskier investments to make most of their money and

were thus priced out of the market when these regulations hit. This is evidenced by “the outstanding stock of credit of small banks declined by about 5%”(Alper, 2020). In contrast to larger banks who were able to “achieve moderate growth.”(Alper, 2020) because of their underreliance on such volatile investments. The lending caps also led to a “reduction in the number of borrowers… by about 27%”(Alper, 2020) which is what we expected to happen if implementation of such a policy occurred. Interestingly though, there was an increase in public lending as banks lended to the government because they would be able to achieve as high, if not higher, interest rates from government bonds than they would from private borrowers. Government bonds are also considered safer investments due to the liquidity premium that comes with government securities, as well as their “higher creditworthiness and lower risk relative to private sector borrowers”(Alper, 2020).

Taking into consideration the case study from Kenya, it becomes increasingly obvious that regulating a market that already acts perfectly competitive will only lead to harm. I think that the lawmakers of the United States, no matter how unifying this topic is, are naive and making incorrect assumptions. It leads to a reduced consumer and producer surplus as firms are priced out of the market, and creates dead weight loss as people with low credit scores are no longer able to participate in the market and banks who would otherwise produce in the market have to exit. The only rational reason one would enact such a policy is to get more people to invest in the public sector via securities, bonds, treasury bills, etc. Which, given the national debt right now and the United State’s *stellar* ability to keep spending more than they earn, it could make the people in power look like they are increasing public saving (from a negative number to a less negative number). I believe making politicians look good on paper is not a great justification for the detriment the American people would have to go through.

Simply put, this policy is mostly negative. From classical theories of economics to case studies showing the effects of such a policy, everything speaks of the negative this will cause. And for this reason, it is of the opinion of this paper, and its author, to oppose this price cap.

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Artificial Intelligence Statement

There is no AI usage in this paper, including summaries of papers and other embedded AI tools.

All faults, misjudgments, and misunderstandings are my own.